# AS

# ECONOMICS

# 7135/1

## Paper 1 The Operation of Markets and Market Failure

## Practice Paper — Moderate

## Mark scheme

Mark schemes are working documents. Indicative content is provided as a guide; examiners must credit other valid points. Students do not have to cover all of the indicative content to reach the highest level of the mark scheme. An answer which contains nothing of relevance to the question must be awarded no marks.

## SECTION A

The following list indicates the correct answers used in marking students' responses.

| Q | Ans | Description | Q | Ans | Description |
|---|---|---|---|---|---|
| 1 | C | The government should reduce income tax for low earners. | 11 | C | A household installing solar panels on their roof. |
| 2 | B | human wants are unlimited but resources are scarce. | 12 | C | a larger share of the tax paid by consumers. |
| 3 | B | the meal out. | 13 | C | higher productivity and lower average costs. |
| 4 | C | the opportunity cost of producing more of one good. | 14 | C | Rent on the premises. |
| 5 | B | relatively inelastic. | 15 | C | The 4th worker. |
| 6 | A | a negative cross elasticity of demand. | 16 | C | there are many sellers each producing identical products. |
| 7 | B | A rise in the cost of wheat used to make bread. | 17 | B | a single firm increasing its scale of production. |
| 8 | B | Excess supply of milk. | 18 | D | negative. |
| 9 | B | 1.5 | 19 | C | Unintended consequences of regulation. |
| 10 | B | non-rival and non-excludable in consumption. | 20 | C | shift the supply curve to the right and increase consumption. |

**Q15 working:** Marginal product: 1→2: 15; 2→3: 20; 3→4: 15; 4→5: 10. First falls between the 3rd and 4th worker.

## Levels of response — 25 mark questions

| Level | Response | Marks |
|---|---|---|
| 5 | Sound, focused analysis and well-supported evaluation that:<br>• is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors<br>• includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response<br>• includes well-focused analysis with clear, logical chains of reasoning<br>• includes supported evaluation throughout the response and in a final conclusion. | 21–25 |
| 4 | Sound, focused analysis and some supported evaluation that:<br>• is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors<br>• includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response<br>• includes some well-focused analysis with clear, logical chains of reasoning<br>• includes some reasonable, supported evaluation. | 16–20 |
| 3 | Some reasonable analysis but generally unsupported evaluation that:<br>• focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present<br>• includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response<br>• includes some reasonable analysis but which might not be adequately developed or becomes confused in places<br>• includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these are not well-supported by arguments and/or data. | 11–15 |
| 2 | A fairly weak response with some understanding that:<br>• includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely<br>• includes some limited application of relevant economic principles to the given context and/or data to the question<br>• includes some limited analysis but it may lack focus and/or become confused<br>• includes attempted evaluation which is weak and unsupported. | 6–10 |
| 1 | A very weak response that:<br>• includes little relevant knowledge and understanding of economic terminology, concepts and principles<br>• includes application to the given context which, at best, is very weak<br>• includes attempted analysis which is weak and unsupported. | 1–5 |

# Context 1 — The market for coffee in the UK

## 2 1 Define 'scarce resource'.

*[3 marks]*

| Level | Response | Max 3 marks |
|---|---|---|
| 3 | A full and precise definition is given. | 3 marks |
| 2 | The substantive content of the definition is correct, but there may be some imprecision or inaccuracy. | 2 marks |
| 1 | Some fragmented points are made. | 1 mark |

### Examples of acceptable definitions worth 3 marks:

- a factor of production that is limited in supply
- a finite input into the production process

### Examples of a definition worth 2 marks:

- a factor of production
- an input

### Examples of a definition worth 1 mark:

- something that is limited
- example(s) of a factor of production, e.g. land, labour, capital or enterprise

**MAXIMUM FOR QUESTION 21: 3 MARKS**

## 2 2 Percentage change in coffee shop revenue 2018 → 2023.

*[4 marks]*

**Calculation:** [(4 750 – 4 180) ÷ 4 180] × 100 = 13.6363… = 13.6% (to 1 dp).

| Response | Max 4 marks |
|---|---|
| For the correct answer: 13.6% (or a rise of 13.6%) | 4 marks |
| For the correct value, not rounded to one decimal place: e.g. 13.64%<br>OR for the correct value, rounded the wrong way: 13.7%<br>OR for the correct value but with incorrect units: e.g. £13.6 / 13.6 (with no % sign) | 3 marks |
| For the correct calculation/figures throughout but the wrong answer<br>OR for an answer with two of: missing/incorrect units; incorrect rounding; missing sign | 2 marks |
| For the correct method (showing change ÷ original × 100)<br>OR a correct intermediate value such as 570 (the absolute change) | 1 mark |

**MAXIMUM FOR QUESTION 22: 4 MARKS**

## 2 3 Two significant features of UK coffee shop revenue.

*[4 marks] Award up to 2 marks for **each** significant feature identified.*

| Response | Max 4 marks |
|---|---|
| Identifies a significant feature<br>Makes accurate use of the data to support the feature identified<br>Unit of measurement given accurately | 2 marks |
| Identifies a significant feature but only one piece of data is given when two are needed and/or no unit of measurement is given and/or the unit of measurement is inaccurate and/or the wrong date is given | 1 mark |

**If a candidate identifies more than two significant features, reward the best two.**

**Significant features include:**

- Revenue is highest in 2023 at £4 750 million (£4.75 billion)
- Revenue is lowest in 2020 at £2 680 million
- The range is £2 070 million (£2 680m to £4 750m)
- Revenue is higher at the end of the period than at the start, rising from £4 180m to £4 750m, an increase of £570m
- The greatest change is between 2019 and 2020, when revenue fell from £4 400m to £2 680m — a fall of £1 720m
- Revenue recovers strongly between 2020 and 2022, rising by £1 840m
- The smallest change is between 2022 and 2023, an increase of £230m

**Note:** Allow a margin of ± £50m.

**MAXIMUM FOR QUESTION 23: 4 MARKS**

### 2 4 PPF diagram — reallocating resources from hot to cold drinks.

*[4 marks]*

The expected diagram involves an initial curve bowed out from the origin (or allow a straight line) between two appropriately labelled axes (either way round), with a movement along the curve towards the 'cold drinks' axis. This requires an arrow or two clearly labelled points (e.g. X and Y).

| Response | Max 4 marks |
|---|---|
| Accurately drawn production possibility curve with appropriately-labelled axes and two points on the curve showing more resources being used for cold drinks | 4 marks |
| Accurately drawn PPC with labelled axes and two points on the curve but no indication of which point is which<br>OR Accurately drawn PPC with two points showing more resources for cold drinks but with at least one axis label missing or inappropriate | 3 marks |
| Accurately drawn PPC with labelled axes and an initial point on the curve but no, or an incorrect, second point<br>OR Accurately drawn PPC with labelled axes, showing more resources used for cold drinks but with one or both points not on the curve | 2 marks |
| Accurately drawn PPC with at least one axis label missing/inappropriate and no, or an incorrect, second point<br>OR Appropriately labelled axes but with an incorrect or missing curve | 1 mark |

**Notes:** A title is not required. The exact shape of the production possibility curve does not matter, but if the PPC does not touch both axes, deduct 1 mark. The only appropriate axes labels are 'Hot drinks' and 'Cold drinks'.

**MAXIMUM FOR QUESTION 24: 4 MARKS**

### 2 5 Explain how a rise in the price of coffee beans is likely to affect the market for coffee in coffee shops.

*[10 marks]*

| Level | An answer that: | Marks |
|---|---|---|
| 3 | • is well organised and develops one or more of the key issues that are relevant to the question<br>• shows sound knowledge and understanding of relevant economic terminology, concepts and principles<br>• includes good application of relevant economic principles and/or good use of data to support the response<br>• includes well-focused analysis with a clear, logical chain of reasoning<br>• may include a relevant diagram to support their explanation. | 8–10 |

| Level | An answer that: | Marks |
|---|---|---|
| 2 | • includes one or more issues that are relevant to the question<br>• shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present<br>• includes reasonable application of relevant economic principles and/or data to the question<br>• includes some reasonable analysis but it might not be adequately developed and may be confused in places<br>• may include a relevant diagram to support their explanation. | 4–7 |
| 1 | • is very brief and/or lacks coherence<br>• shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely<br>• demonstrates very limited ability to apply relevant economic principles and/or data to the question<br>• may include some very limited analysis but the analysis lacks focus and/or becomes confused<br>• may include a diagram but the diagram is likely to be inaccurate in some respects or is inappropriate. | 1–3 |

**Relevant issues include:**

• Coffee beans are a key raw material/variable cost in the production of coffee drinks
• A rise in costs of production shifts the supply curve to the left (S → S1)
• Resulting rise in the equilibrium price and fall in equilibrium quantity in the market
• Significance of PED for coffee shop drinks — coffee tends to be habit-forming so demand is relatively inelastic; producers can pass on a large share of cost increases
• Possible substitution effect — some consumers may switch to tea, instant coffee at home or other beverages (XED)
• Knock-on effects on profits, employment and the number of coffee shops in operation, particularly small/independent shops with less bargaining power
• Recognition that revenue could rise if demand is sufficiently inelastic, or fall if demand is elastic
• Use of a relevant supply–demand diagram to support the explanation

**MAXIMUM FOR QUESTION 25: 10 MARKS**

**2 6 Discuss whether the UK government should impose a tax on sugary coffee drinks.**

*[25 marks]*

**Areas for discussion include:**

• Sugary drinks as a demerit good — information failure about long-term health risks
• Negative externalities of consumption — costs to the NHS, lost productivity, social costs of obesity
• Diagram showing MSC > MPC and welfare loss from over-consumption at the free-market level
• How an indirect tax works to internalise the externality — shift of supply curve by amount of tax
• Evidence from the existing Soft Drinks Industry Levy (sugar tax) introduced in 2018 — reformulation by producers, fall in average sugar content
• Tax incidence and PED — sugary drinks may have relatively inelastic demand so the impact on quantity may be limited and most of the tax is paid by consumers
• Regressive nature of an indirect tax — burden falls disproportionately on lower-income households
• Impact on producers, particularly small independent coffee shops and employment in the sector
• Government revenue raised by the tax and its possible use (e.g. funding healthier school meals or sports)
• Alternative interventions — information campaigns, regulation of menu labelling, minimum standards on sugar content, restrictions on advertising, subsidies for healthier alternatives
• Issues of consumer sovereignty and freedom of choice
• Government failure — administrative costs, unintended consequences (e.g. switching to other unhealthy products), difficulty defining 'sugary'
• Equity versus efficiency considerations

• An overall, supported judgement on whether the tax should be introduced

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response.

**Use the levels mark scheme on the earlier page to award marks for this question.**

**MAXIMUM FOR QUESTION 26: 25 MARKS**

## Context 2 — The market for video streaming services

### 2 7 Define 'fixed costs'.

*[3 marks]*

| Level | Response | Max 3 marks |
|---|---|---|
| 3 | A full and precise definition is given. | 3 marks |
| 2 | The substantive content of the definition is correct, but there may be some imprecision or inaccuracy. | 2 marks |
| 1 | Some fragmented points are made. | 1 mark |

**Examples of acceptable definitions worth 3 marks:**

- costs that do not change with output (in the short run)
- costs that have to be paid regardless of the level of output

**Examples of a definition worth 2 marks:**

- costs that stay the same
- total costs minus variable costs

**Examples of a definition worth 1 mark:**

- costs that are not variable
- example of a fixed cost, e.g. rent, insurance

**MAXIMUM FOR QUESTION 27: 3 MARKS**

### 2 8 Percentage of UK households with at least one subscription in 2022.

*[4 marks]*

**Calculation:** (19 ÷ 28.2) × 100 = 67.375… = 67.4% (to 1 dp).

| Response | Max 4 marks |
|---|---|
| For the correct answer: 67.4% | 4 marks |
| For the correct value, not rounded to one decimal place: e.g. 67.38%<br>OR rounded the wrong way: 67.3%<br>OR for the correct value but with missing/incorrect units (e.g. £67.4 or 67.4 households) | 3 marks |
| For the correct calculation/figures throughout but the wrong answer<br>OR two of: missing units; incorrect rounding; wrong sign | 2 marks |
| For the correct method (proportion × 100)<br>OR a correct intermediate value such as 0.6737… | 1 mark |

**MAXIMUM FOR QUESTION 28: 4 MARKS**

### 2 9 Two significant features of UK subscribers to paid video streaming services.

*[4 marks] Award up to 2 marks for **each** significant feature.*

| Response | Max 4 marks |
|---|---|
| Identifies a significant feature<br>Makes accurate use of the data to support the feature identified<br>Unit of measurement given accurately | 2 marks |
| Identifies a significant feature but only one piece of data is given when two are needed and/or no unit of measurement is given and/or the unit of measurement is inaccurate and/or the wrong date is given | 1 mark |

**Significant features include:**

- Subscribers are highest in 2022 at 19.4 million households
- Subscribers are lowest in 2017 at 8.2 million households
- The range is 11.2 million households (8.2m to 19.4m)
- Subscribers rose every year from 2017 to 2022
- The greatest annual increase is between 2019 and 2020, from 13.3m to 17.6m — a rise of 4.3m
- Subscribers fall slightly between 2022 and 2023, from 19.4m to 19.2m — a fall of 0.2m, the only decrease in the period
- Overall, subscribers more than doubled, rising from 8.2m to 19.2m — an increase of 11.0m

**Note:** Allow a margin of ± 0.2 million.

**MAXIMUM FOR QUESTION 29: 4 MARKS**

### 3 0 PPF diagram — improvement in technology raising the output of both products.

*[4 marks]*

The expected diagram involves an initial curve bowed out from the origin (or allow a straight line) between two appropriately-labelled axes (either way round), with a second curve outside the first. The curves should be given appropriate labels and/or arrows may be used to show the direction of the shift.

| Response | Max 4 marks |
|---|---|
| Accurately drawn initial production possibility curve and a second curve outside, with appropriately-labelled axes and a clear indication of which curve is which | 4 marks |
| Accurately drawn initial PPC with labelled axes and a second curve outside, but no indication of which is which<br>OR with clear indication but at least one axis label missing or inappropriate | 3 marks |
| Accurately drawn initial PPC with appropriately-labelled axes but no, or an incorrect, second curve | 2 marks |
| Accurately drawn initial PPC with at least one axis label missing or inappropriate and no, or an incorrect, second curve<br>OR appropriately labelled axes but with incorrect or missing curve(s) | 1 mark |

**Notes:** A title is not required. The exact shape does not matter, but if the PPC does not touch both axes, deduct 1 mark. The only appropriate axes labels are 'Films' and 'Drama series'.

**MAXIMUM FOR QUESTION 30: 4 MARKS**

### 3 1 Explain factors that could cause a fall in the price of streaming services.

*[10 marks]*

| Level | An answer that: | Marks |
|---|---|---|
| 3 | • is well organised and develops one or more of the key issues that are relevant to the question<br>• shows sound knowledge and understanding of relevant economic terminology, concepts and principles<br>• includes good application of relevant economic principles and/or good use of data to support the response<br>• includes well-focused analysis with a clear, logical chain of reasoning<br>• may include a relevant diagram to support their explanation. | 8–10 |

| Level | An answer that: | Marks |
|---|---|---|
| 2 | • includes one or more issues that are relevant to the question<br>• shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present<br>• includes reasonable application of relevant economic principles and/or data to the question<br>• includes some reasonable analysis but it might not be adequately developed and may be confused in places<br>• may include a relevant diagram to support their explanation. | 4–7 |
| 1 | • is very brief and/or lacks coherence<br>• shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely<br>• demonstrates very limited ability to apply relevant economic principles and/or data to the question<br>• may include some very limited analysis but the analysis lacks focus and/or becomes confused<br>• may include a diagram but the diagram is likely to be inaccurate in some respects or is inappropriate. | 1–3 |

**Relevant issues include:**

• Recognition that a fall in price can be caused by an increase in supply and/or a fall in demand
• Increased competition between platforms (Netflix, Amazon Prime, Disney+, Apple TV+, etc.) leading firms to undercut each other
• Lower production or distribution costs — improvements in technology, falling broadband costs, economies of scale reducing average costs
• Significance of free or low-priced alternatives (ad-supported tiers, free streaming services, social media video) as substitutes — high XED
• Fall in consumer incomes during a cost-of-living squeeze reducing demand for premium subscriptions (income elasticity of demand)
• Changes in tastes — for example, viewers spending more time on short-form content or gaming
• Use of a relevant supply–demand diagram, showing either an outward shift of supply or an inward shift of demand and the resulting fall in equilibrium price

**MAXIMUM FOR QUESTION 31: 10 MARKS**

**3 2 Discuss whether the UK government should intervene in the market for streaming services.**

*[25 marks]*

**Areas for discussion include:**

• Current state of the market — rapid growth of subscribers, dominance of a few global firms, displacement of traditional cinema and broadcast TV
• UK-made content as a possible merit good — positive externalities of cultural production, education, support for the creative industries
• Negative externalities of consumption — possible effects on children's exercise, sleep, social interaction
• Market concentration and the risk of monopoly power — higher prices, lower output, lower quality in the long run
• Forms of intervention — tax incentives or subsidies for UK-made productions, content quotas, regulation of advertising or children's viewing, support for public service broadcasters such as the BBC
• Impact on different economic agents — consumers (price, choice), workers in the creative industries, streaming firms, traditional broadcasters, advertisers
• Financial cost and opportunity cost of subsidies/tax breaks; alternative uses of public funds
• Risks of government failure — administrative cost, regulatory capture, picking winners, unintended effects on innovation

- Case for leaving it to the market — competition is high, consumers benefit from low prices and wide choice, UK firms can adapt
- Equity versus efficiency, distributional consequences (digital divide)
- An overall, supported judgement on whether intervention is justified, and in what form

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response.

**Use the levels mark scheme on the earlier page to award marks for this question.**

**MAXIMUM FOR QUESTION 32: 25 MARKS**